

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 967

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO DISTRIBUTION OF MONEYS IN LIQUOR ACCOUNT; AMENDING SECTION 23-404, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE DISTRIBUTION OF MONEYS IN THE LIQUOR ACCOUNT; AMENDING SECTION 33-2139, IDAHO CODE, TO PROVIDE A CORRECT CODE REFERENCE; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 23-404, Idaho Code, be, and the same is hereby amended to read as follows:

23-404. DISTRIBUTION OF MONEYS IN LIQUOR ACCOUNT. (1) The moneys received into the liquor account shall be transferred or appropriated as follows:

(a) An amount of money equal to the actual cost of purchase of alcoholic liquor and payment of expenses of administration and operation of the division, as determined by the director and certified quarterly to the state controller, shall be transferred back to the division; provided, that the amount so transferred back for administration and operation of the division shall not exceed the amount authorized to be expended by regular appropriation authorization.

(b) ~~From fiscal year 2006 through fiscal year 2009, forty percent (40%) of the Fifty percent (50%) of the balance remaining after transferring the amounts authorized by paragraph (a) of this subsection shall be transferred or appropriated pursuant to this paragraph. Beginning in fiscal year 2010, the percentage transferred pursuant to this paragraph shall increase to forty-two percent (42%) with an increase of two percent (2%) for each subsequent fiscal year thereafter until fiscal year 2014, when such percentage shall be fifty percent (50%).~~ as follows:

~~(i) For fiscal year 2006 and through fiscal year 2009, one million eight hundred thousand dollars (\$1,800,000) shall be appropriated and paid to the cities and counties as set forth in paragraph (c) (i) and (ii) of this subsection;~~

~~(ii) (i) Two million eighty thousand dollars (\$2,080,000) shall be transferred annually to the substance abuse treatment fund created in section 23-408, Idaho Code;~~

~~(iii) (ii) Eight hundred thousand dollars (\$800,000) shall be transferred annually to the state community college account created in section 33-2139, Idaho Code;~~

~~(iv) (iii) One million two hundred thousand dollars (\$1,200,000) shall be transferred annually to the public school income fund as defined in section 33-903, Idaho Code;~~

~~(v)~~ (iv) Six hundred fifty thousand dollars (\$650,000) shall be transferred annually to the cooperative welfare fund in the dedicated fund;

~~(vi)~~ (v) Six hundred eighty thousand dollars (\$680,000) shall be transferred annually to the drug court, mental health court and family court services fund;

~~(vii)~~ (vi) Four hundred forty thousand dollars (\$440,000) shall be transferred annually to the drug and mental health court supervision fund created in section 23-409, Idaho Code; and

(vii) Two million dollars (\$2,000,000) shall be transferred annually to the Idaho law enforcement fund established in section 67-2914, Idaho Code, and shall be used exclusively for the purposes described in section 49-454(3), Idaho Code; and

(viii) The balance shall be transferred to the general fund, after one and one-half percent (1.5%) of such balance is transferred to the peace officers standards and training fund created in section 19-5116, Idaho Code.

(c) ~~The remainder of the moneys received in the liquor account~~ Fifty percent (50%) of the balance remaining after transferring the amounts authorized by paragraph (a) of this subsection shall be transferred or appropriated and paid as follows:

(i) ~~For fiscal year 2018, forty percent (40%) of the balance remaining after the transfers authorized by paragraphs (a) and (b) of this subsection have been made is hereby appropriated to and shall be paid to the several counties. For fiscal year 2019, the amount apportioned to counties shall decrease to thirty-nine and two-tenths percent (39.2%) with a decrease of eight-tenths percent (.8%) for each subsequent fiscal year thereafter until fiscal year 2023 when such percentage shall be thirty-six percent (36%).~~ Eighty-five percent (85%) of such balance remaining shall be transferred or appropriated as follows:

1. Two million dollars (\$2,000,000) shall be transferred annually to the Idaho law enforcement fund established in section 67-2914, Idaho Code, and shall be used exclusively for the purposes described in section 49-454(3), Idaho Code.

2. Forty-two and three-tenths percent (42.3%) of the balance remaining after the transfer authorized by subparagraph (i)1. of this paragraph has been made is hereby appropriated to and shall be paid to the several counties. Each county shall be entitled to an amount in the proportion that liquor sales through the division in that county during the state's previous fiscal year bear to total liquor sales through the division in the state during the state's previous fiscal year, except that no county shall be entitled to an amount less than that county received in distributions from the liquor account during the state's fiscal year 1981.

~~(ii) 3. For fiscal year 2018, sixty percent (60%)~~ Fifty-seven and seven-tenths percent (57.7%) of the balance remaining after the transfers transfer authorized by paragraphs (a) and (b) of this subsection have subparagraph

(i) 1. of this paragraph has been made is hereby appropriated to and shall be paid to the several cities. ~~For fiscal year 2019, the amount apportioned to the several cities shall decrease to fifty-seven and eight-tenths percent (57.8%) with a decrease of two and two-tenths percent (2.2%) for each subsequent fiscal year thereafter until fiscal year 2023 when such percentage shall be forty-nine percent (49%).~~ Amounts paid to the several cities shall be distributed as follows:

1. (A) Ninety percent (90%) of the amount appropriated to the cities shall be distributed to those cities that have a liquor store or distribution station located within the corporate limits of the city. Each such city shall be entitled to an amount in the proportion that liquor sales through the division in that city during the state's previous fiscal year bear to total liquor sales through the division in the state during the state's previous fiscal year, except that no city shall be entitled to an amount less than that city received in distributions from the liquor account during the state's fiscal year 1981;

2. (B) Ten percent (10%) of the amount appropriated to the cities shall be distributed to those cities that do not have a liquor store or distribution station located within the corporate limits of the city. Each such city shall be entitled to an amount in the proportion that its population bears to the population of all cities in the state that do not have a liquor store or distribution station located within the corporate limits of the city, except that no city shall be entitled to an amount less than that city received in distributions from the liquor account during the state's fiscal year 1981.

~~(iii)~~ (ii) ~~For fiscal year 2019, an additional amount of three percent (3%) of the balance remaining after the transfers authorized by paragraphs (a) and (b) of this subsection have been made~~ Fifteen percent (15%) of such balance remaining is hereby appropriated to the several counties for deposit in the district court fund. Such funds shall be dedicated to provide for the suitable and adequate quarters of the magistrate division of the district court, including the facilities and equipment necessary to make the space provided functional for its intended use, and shall provide for the staff personnel, supplies and other expenses of the magistrate division. ~~For fiscal year 2020, the amount apportioned to the several counties for deposit in the district court fund shall be six percent (6%) with an increase of three percent (3%) for each subsequent year until fiscal year 2023 when such percentage shall be fifteen percent (15%).~~ Amounts paid to the several counties pursuant to this subparagraph shall be distributed as follows:

1 1. The first four hundred forty thousand dollars (\$440,000)
2 shall be distributed to each of the forty-four (44) counties
3 in equal amounts;

4 2. Fifty percent (50%) of the remaining funds shall be dis-
5 tributed to the forty-four (44) counties in proportion to
6 the population of the county in relation to the population of
7 the state; and

8 3. Fifty percent (50%) of the remaining funds shall be dis-
9 tributed to the forty-four (44) counties in proportion to
10 the number of misdemeanor and infraction filings initiated
11 by city law enforcement officers in the county during the
12 state's previous fiscal year in relation to the proportion
13 of the number of misdemeanor and infraction filings initi-
14 ated by all city law enforcement officers in the state.

15 (2) All transfers and distributions shall be made periodically, but not
16 less frequently than quarterly, but the apportionments made to any county or
17 city that may during the succeeding three (3) year period be found to have
18 been in error either of computation or transmittal shall be corrected during
19 the fiscal year of discovery by a reduction of apportionments in the case of
20 over-apportionment or by an increase of apportionments in the case of under-
21 apportionment. The decision of the director on entitlements of counties and
22 cities shall be final and shall not be subject to judicial review.

23 (3) For purposes of this section, "city law enforcement officer" means
24 an individual, either employed directly by a city or by way of a contract for
25 law enforcement services with another city or county, authorized to investi-
26 gate, enforce, prosecute or punish violations of city or state statutes, or-
27 dinances or regulations.

28 SECTION 2. That Section 33-2139, Idaho Code, be, and the same is hereby
29 amended to read as follows:

30 33-2139. STATE COMMUNITY COLLEGE ACCOUNT CREATED. There is hereby
31 created a state community college account in the state operating fund in the
32 state treasurer's office to which shall be credited all moneys that may be
33 transferred pursuant to section 23-404(1)(b) ~~(iii)~~ (ii), Idaho Code. The
34 state treasurer shall make such disbursements from the account as may be
35 ordered by the state board of education in accordance with the provisions of
36 this act.

37 SECTION 3. An emergency existing therefor, which emergency is hereby
38 declared to exist, this act shall be in full force and effect on and after
39 July 1, 2026.